

of the pattern on the day before B. The downward move busted the upward breakout from the diamond, suggesting a strong move downward (but no guarantee, of course). As the chart shows, the strong drop didn't happen.



Figure 61.5 This busted three falling peaks pattern resulted in a sale just before the stock doubled.

“November head-and-shoulders top is sending prices lower. [The] measure rule says a decline to 19.66 from the 22.50 neckline breakout.”

The head-and-shoulders top is at C, 1, 2, with the left shoulder (C), head (1), and right shoulder (2). The left shoulder looks like it should go to the hospital for surgery. It's almost the same height as 2 but a bit closer to the head than 2. It's not as prominent as 2, so I guess that's my main complaint. Even so, it's a valid head-and-shoulders top.

It confirms as a valid chart pattern when price closes below neckline E. Notice that the neckline at E is horizontal instead of drawn connecting the two armpits (the valley between C and 1, and 1 and 2). That's because the neckline would slope downward and waiting for a close below the line as a sell signal would never occur (in this case). So for down-sloping necklines, I use a horizontal line connecting the right armpit like that shown at E.

The stock dropped from E to below line A before finding support. The stock didn't drop to the 19.66 target suggested by the measure rule.